

USA: UMich Sentiment Rises; Short-Term Inflation Expectations Decline

BOTTOM LINE: The University of Michigan's index of consumer sentiment increased by more than expected in the July preliminary report. The report's 1-year inflation expectations measure decreased by 0.4pp to 4.2% and the 5–10-year measure was unchanged at 3.3%.

US MAP:

University of Michigan consumer sentiment +1 (1, +1)

KEY NUMBERS:

University of Michigan sentiment (preliminary) 54.4 for July vs. GS 51.5, median forecast 51.0, prior 49.5

University of Michigan 1-year inflation expectations (preliminary) 4.2% for July vs. median forecast 4.4%, prior 4.6%

University of Michigan 5–10-year inflation expectations (preliminary) 3.3% for July vs. GS 3.3%, median forecast 3.3%, prior 3.3%

MAIN POINTS:

1. The University of Michigan's index of consumer sentiment increased by 4.9pt to 54.4 in the July preliminary report, above expectations. The survey's current economic conditions component increased by 7.2pt to 54.9 and the consumer expectations component increased by 3.3pt to 54.0. The University of Michigan noted that "sentiment's upward momentum may prove difficult to sustain if recent declines in gas prices continue to reverse course," and that "Interviews for this release spanned June 23 to July 13, with more than 70% completed before the resumption of US strikes against Iran on July 7 and the subsequent increase in gas prices."

2. Short-term inflation expectations fell in July. Median inflation expectations over the next year declined 0.4pp to 4.2%, below consensus expectations. Inflation expectations over the next 5–10 years were unchanged at 3.3%, in line with expectations.

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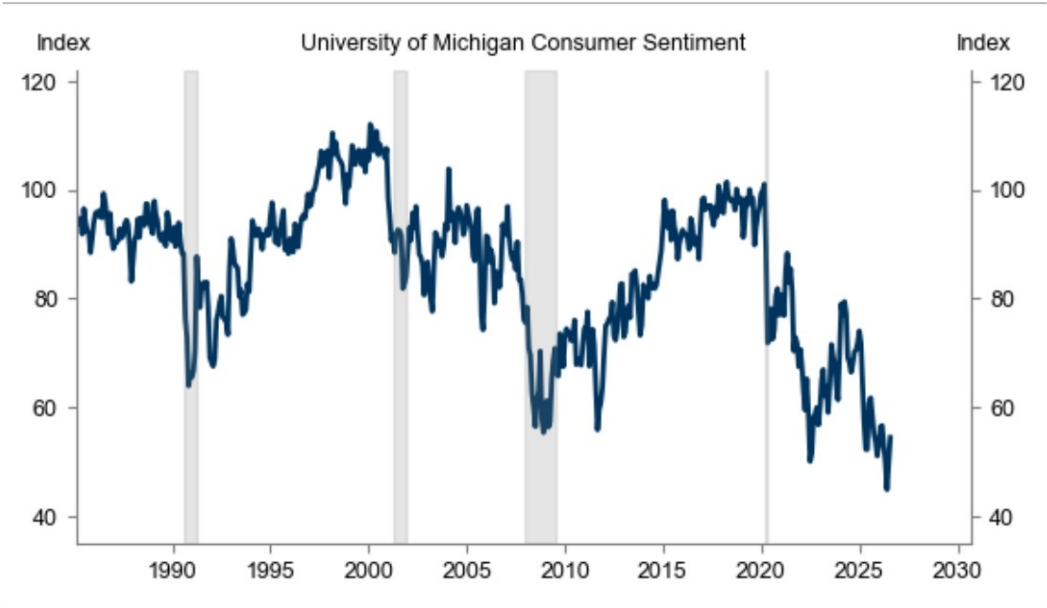
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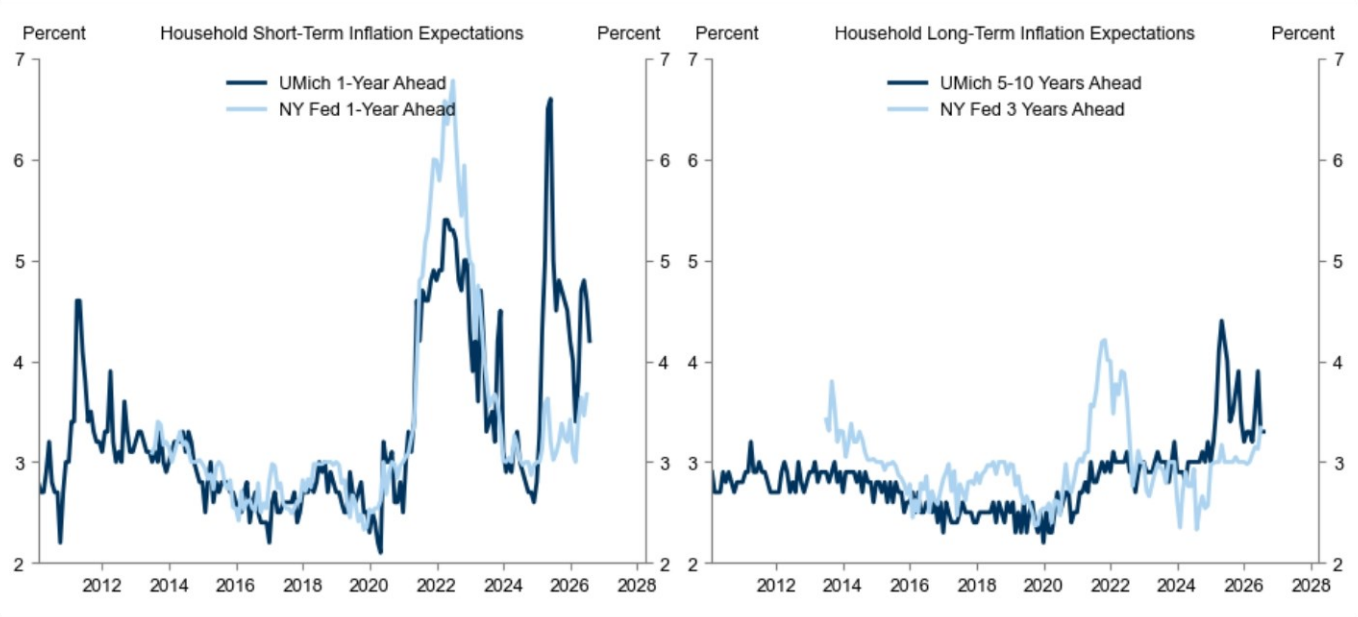
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Source: Goldman Sachs Global Investment Research, University of Michigan



Source: Goldman Sachs Global Investment Research, University of Michigan

Disclosure Appendix

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